Seeking Lower Status

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The Puzzle

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- Individuals derive self-esteem from the status of their groups (Tajfel and Turner 1979).

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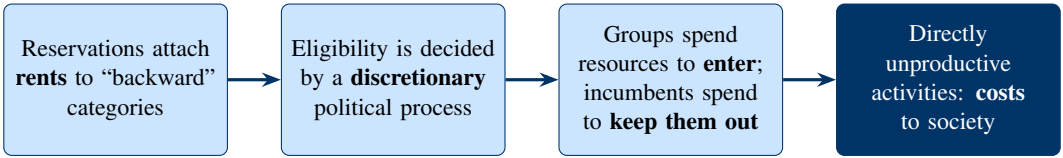
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In the last two decades, locally dominant caste groups in India have agitated, sometimes violently, to be classified as "Other Backward Classes" (OBCs)—groups considered to be of lower status.

Argument

- Individuals may identify with lower-status groups if there are **rents** associated with this identification.
- This rent-seeking incentivizes **directly unproductive activities**, which generate costs—including costs borne by third parties.
- We illustrate this using **four cases** of caste groups.



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Highest rank ↓ lowest rank

Brahmins: the priest class

Kshatriyas: the warrior class

Vaishyas: the merchants

Shudras: occupations supporting the other three

The "untouchable" caste groups, outside the *varna* hierarchy

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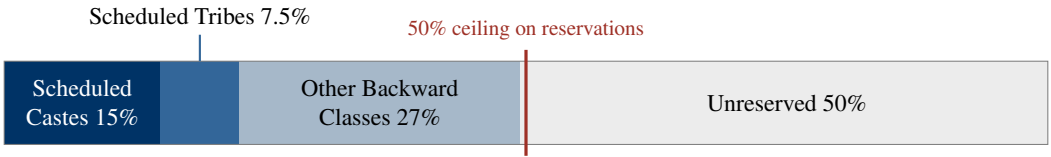
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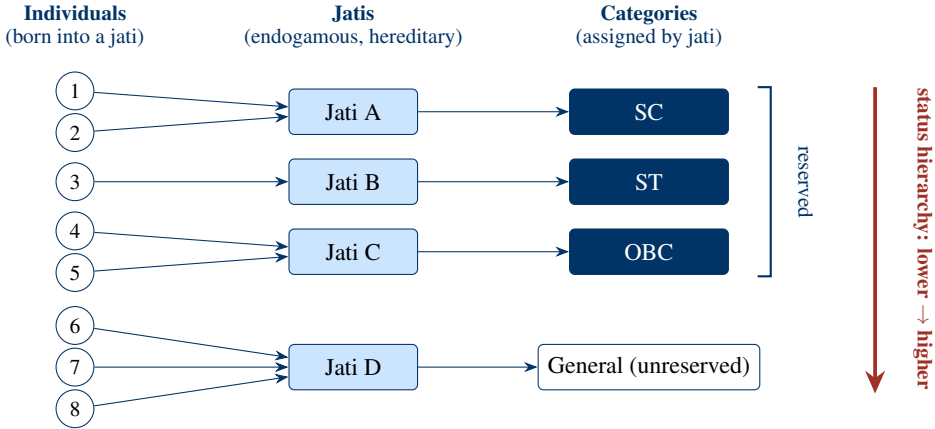
Union government reservation shares



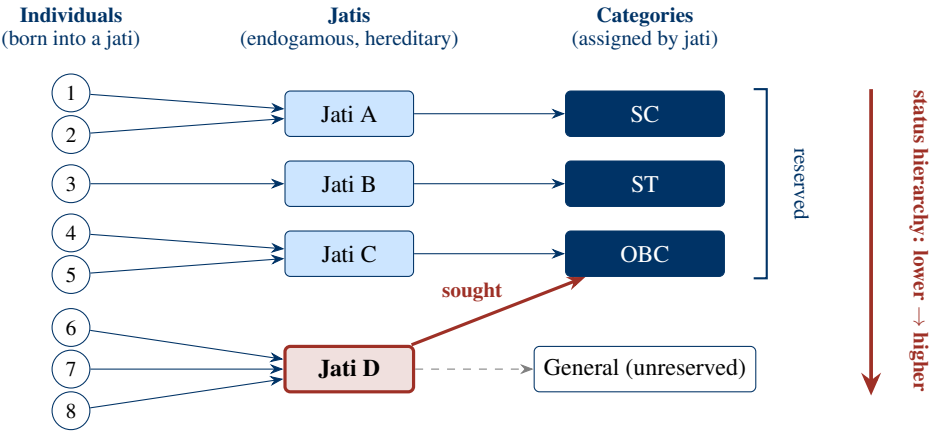
Scheduled Castes: the former "untouchables"

Since 2019, an income-based EWS category adds a further 10%.

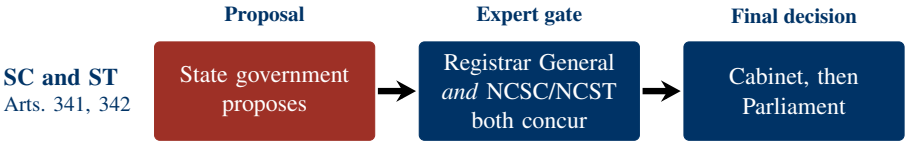
Background: Classification



Background: The Reclassification Sought



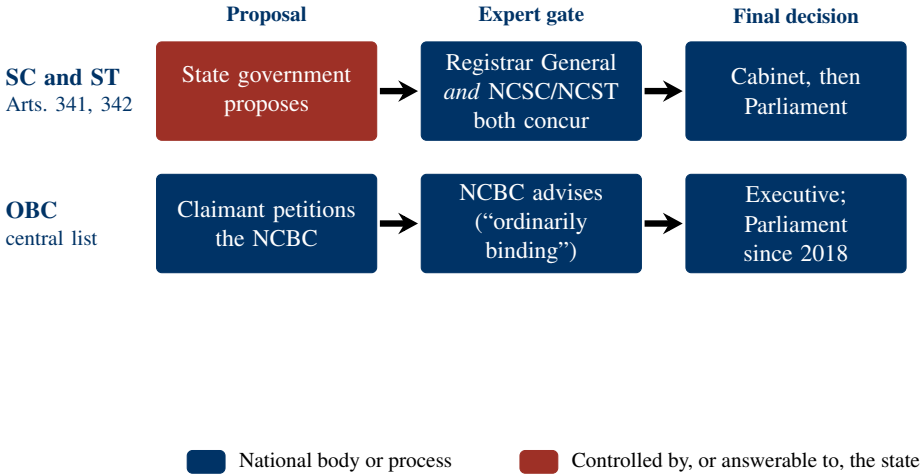
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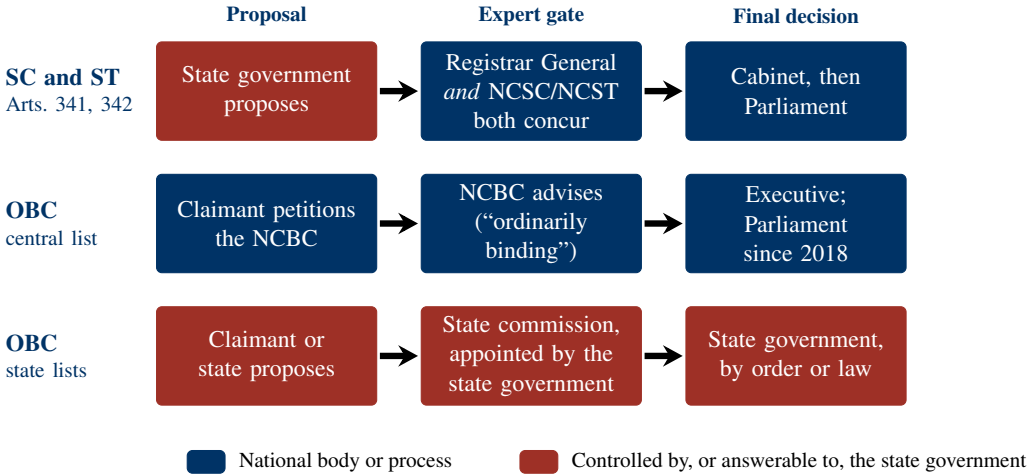
National body or process

Controlled by, or answerable to, the state government

Background: Classification Process



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Theory: Rent-Seeking and the Tullock Contest

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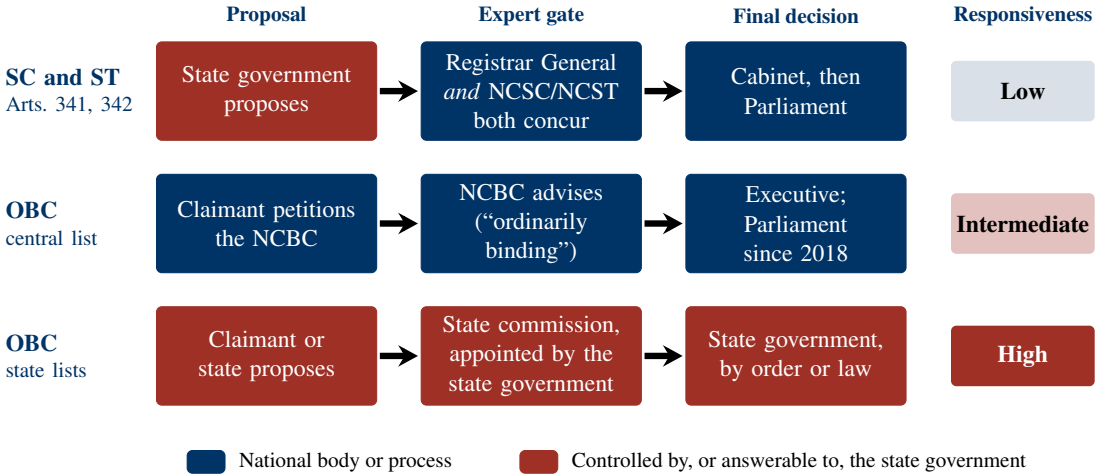
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The chance of a group's inclusion depends on...

$$\Pr(\text{included}) = f\big(\text{group characteristics},\ \text{own effort},\ \text{opponents' effort},\ \text{responsiveness of the venue (discretion)}\big)$$

Background: Classification Process



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4. Low stigma

Stigma of a lower-status label is small for groups not low in the hierarchy; the OBC category is large and less stigmatized than SC or ST.

Application: Caste-Based Agitations in India

Group	State	Share of state sample
Marathas	Maharashtra	26%
Jats	Haryana	13%
Patidars (Patels)	Gujarat	5%

IHDS 2011–12 (Deshpande and Ramachandran 2017). The census does not record jati.

- On consumption, poverty, education, and occupation, all three are **closer to the forward castes** than to OBCs, SCs, or STs (Deshpande and Ramachandran 2017).

Marathas (Maharashtra): Strategies and Costs

Strategies

2008	State commission rejects the claim; a committee led by a Maratha minister finds them backward.
2014	16% quota before the assembly election; stayed by the High Court.
2018	SEBC Act restores the quota; struck down by the Supreme Court in 2021.
2023–24	Hunger strikes for Kunbi certificates; new 10% quota.

Costs

- Marches and hunger strikes disrupt Mumbai
- Successive commissions and years of litigation
- OBC groups counter-mobilize in court

Jats (Haryana): Strategies and Costs

Strategies

2012	10% quota; quashed by the High Court in 2015.
2014	Cabinet overrides the NCBC before the general election; quashed by the Supreme Court in 2015.
Feb 2016	Blockades of roads, rail, and Delhi's canal.
Mar 2016	New 10% "Block C" quota; frozen by the Supreme Court in 2018.

Costs

- 19 to 30 or more dead
- USD 3–4 billion in estimated losses
- Commissions, ordinances, litigation

Patidars (Gujarat): Strategies and Costs

Strategies

2015	Mass rally in Ahmedabad demanding OBC inclusion.
2016	10% quota for economically backward classes outside existing categories; struck down by the High Court.
2018	Hardik Patel meets the state OBC commission chair to demand a survey.

Costs

- Curfew, army deployment, at least 8 dead
- OBC groups protest the inclusion
- 391 of 438 cases against agitators withdrawn

Meenas Defending Rents: Gurjars vs. Meenas in Rajasthan

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- The **Meenas**, Rajasthan's largest ST, threatened to agitate if Gurjars were given ST status; violent Gurjar–Meena clashes followed in 2007.

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- Tullock's (1975) **transitional gains trap**: households that planned around a reserved post defend it, since a new entrant lowers the return on investments already made.

Conclusion

- Individuals may want to be associated with "lower-status" groups if there are **rents** associated with doing so: the direction of status-seeking is institutionally contingent, not a fixed psychological parameter.
- Costs generated by rent-seeking that is incentivized by **discretion** must be taken into account when evaluating reservation policies in India.

Thank you!

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